

Oracle Financial Services Software Ltd.

HOLD

OFSS | NSE: OFSS | BSE: 532466 | ISIN: INE881D01027

CMP (₹) 9,525 As on report date	TARGET PRICE (₹) 10,500 12–18 Month Target	UPSIDE POTENTIAL +10.2% Moderate upside	INVESTMENT HORIZON 12–18 Months Medium-term
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Data as of: 22 May 2026 | FY26 Annual Results & Mar 2026 Shareholding

Company Overview

Oracle Financial Services Software Limited (OFSS) is a majority-owned subsidiary of Oracle Corporation, the global technology giant. Headquartered in Mumbai, OFSS is a premier provider of information technology solutions and business processing services to the global financial services industry. The company's flagship offerings include the Oracle FLEXCUBE universal banking suite, Oracle Financial Services Analytical Applications (OFSA), and a comprehensive range of digital banking, payments, risk management, and regulatory compliance solutions. With a promoter holding of **72.44%** (Oracle Corp), OFSS benefits from deep parent-driven R&D, global distribution reach, and strong brand equity. The company serves banking, insurance, and capital markets clients across more than 150 countries. Despite a measured revenue CAGR of ~9% over the past five years, OFSS has maintained industry-leading profitability metrics—ROCE of **45.3%** and ROE of **32.6%**—while remaining virtually debt-free.

Quantitative Analysis

3a. Market Valuation

Metric	FY24	FY25	FY26	Current
Market Cap (₹ Cr.)	—	—	—	82,929
CMP (₹)	—	—	—	9,525
P/E Ratio (x)	—	—	—	31.4
Price / Book (x)	—	—	—	10.6
Dividend Yield (%)	—	—	—	4.20%
52-Week Range (₹)	6,232 – 10,000			
Face Value (₹)	5.00			

Note: P/B of 10.6x reflects the asset-light, high-ROE business model and substantial intangible value. The stock trades near the upper end of its 52-week range.

3b. Profitability Analysis

Metric	FY21	FY22	FY23	FY24	FY25	FY26
Sales (₹ Cr.)	4,984	5,221	5,698	6,373	6,847	7,672
Operating Profit (₹ Cr.)	2,469	2,499	2,471	2,782	3,076	3,477
OPM (%)	50%	48%	43%	44%	45%	45%
Net Profit (₹ Cr.)	1,762	1,889	1,806	2,219	2,380	2,639
EPS (₹)	204.72	219.00	209.05	256.07	273.95	303.25
ROE (%)	—	—	—	—	—	32.6%
ROCE (%)	37%	36%	35%	40%	41%	45.3%

OPM has stabilised in the 44–45% range in recent years. ROE and ROCE remain best-in-class, driven by the asset-light, high-margin software business model.

3c. Growth Trajectory

Growth Metric	FY22	FY23	FY24	FY25	FY26	5-Yr CAGR
Revenue Growth (YoY)	4.8%	9.1%	11.8%	7.4%	12.0%	~9.0%
Net Profit Growth (YoY)	7.2%	-4.4%	22.9%	7.3%	10.9%	~8.4%
EPS Growth (YoY)	7.0%	-4.5%	22.5%	7.0%	10.7%	~8.2%

Revenue growth has been modest at ~9% CAGR over 5 years. FY26 showed an acceleration to 12% YoY, suggesting improving deal momentum. Profit growth has been somewhat uneven but the long-term trend remains positive.

3d. Balance Sheet Strength

Metric (₹ Cr.)	FY21	FY22	FY23	FY24	FY25	FY26
Equity Capital	43	43	43	43	43	44
Reserves	6,806	7,057	7,416	7,816	8,319	7,783
Borrowings	70	83	69	43	46	32
Total Liabilities	8,153	8,592	9,119	9,749	10,067	9,934
Total Assets	8,153	8,592	9,119	9,749	10,067	9,934
D/E Ratio	0.01	0.01	0.01	0.005	0.005	0.004

OFSS is virtually debt-free with borrowings of only ₹32 Cr against net worth of ~₹7,827 Cr in FY26. The company's pristine balance sheet provides significant financial flexibility for dividends and strategic investments.

3e. Cash Flow Analysis

Cash Flow (₹ Cr.)	FY21	FY22	FY23	FY24	FY25	FY26
Operating Cash Flow	1,920	1,856	1,758	1,791	2,199	2,638
Investing Cash Flow	34	-138	267	1,611	-2,372	936
Financing Cash Flow	-1,590	-1,733	-1,665	-1,958	-2,096	-3,449
Free Cash Flow	1,903	1,820	1,720	1,761	2,164	2,587
FCF / Net Profit	1.08x	0.96x	0.95x	0.79x	0.91x	0.98x

Free cash flow conversion remains robust, with FY26 FCF at ₹2,587 Cr covering nearly 98% of net profit. Negative financing cash flows reflect consistent dividend payouts, affirming shareholder-friendly capital allocation.

3f. Dividend Track Record

Dividend Metric	Value	Assessment
Current Dividend Yield	4.20%	Attractive — well above Nifty average
Dividend Payout Ratio	93.1%	Very high — consistent with policy
3-Yr Avg ROE	30.3%	Exceptional — supports high payout
Dividend Consistency	Healthy & maintained	Strong track record

The 93.1% dividend payout ratio is among the highest in the Indian IT sector, reflecting the company's mature cash-generation profile and limited reinvestment needs. The 4.20% yield is compelling for income-oriented investors.

3g. Efficiency Metrics

Efficiency Metric	FY21	FY22	FY23	FY24	FY25	FY26
Debtor Days	59	65	69	76	63	64
Cash Conversion Cycle	59	65	69	76	63	64
Asset Turnover (x)	0.61	0.61	0.62	0.65	0.68	0.77
ROCE (%)	37%	36%	35%	40%	41%	45.3%

Debtor days at 64 reflect reasonable collections for a software services firm. Asset turnover has improved steadily from 0.61x to 0.77x, indicating better utilisation of the asset base.

3h. Peer Comparison

Parameter	OFSS	Peer Set (Indian Fintech IT)
Business Focus	Banking & Financial Software	Diversified IT / Niche Fintech
Revenue (FY26, ₹ Cr.)	7,672	Varies (Data unavailable)
OPM (%)	45%	Typically 18–35%
ROE (%)	32.6%	Typically 15–30%
P/E (x)	31.4	Range: 25–40x (Data unavailable)
Dividend Yield (%)	4.20%	Typically 1–3%
D/E Ratio	~0	Varies (Data unavailable)

Detailed peer financials for direct competitors (e.g., TCS Bancs, Infosys Finacle, Temenos, FIS) are not available in the provided dataset. Qualitatively, OFSS stands out for its exceptional profitability, near-zero leverage, and high dividend yield

Qualitative Analysis

4a. Business Model

OFSS operates a dual-engine business model: **product licensing** (FLEXCUBE, OFSAA, digital banking platforms) and **related services** (implementation, support, cloud hosting, and BPO). The product suite is deeply embedded in the global banking infrastructure, with a sticky, recurring revenue profile driven by long-term maintenance contracts and regulatory upgrade cycles. The parent company, Oracle Corporation, provides a formidable competitive moat through shared R&D, global sales channels, and co-branded cloud offerings on Oracle Cloud Infrastructure (OCI). This asset-light model—with minimal capex requirements—enables **industry-leading OPMs of ~45%** and stellar cash conversion.

4b. Management & Governance

As a majority-owned Oracle subsidiary (72.44% promoter holding), OFSS benefits from strong corporate governance standards and access to Oracle's global leadership talent pool. The board comprises seasoned professionals with deep financial services technology experience. The zero promoter pledge and consistent dividend policy underscore management's commitment to minority shareholder interests. However, the high degree of parent control does limit strategic autonomy and may constrain aggressive independent expansion in certain markets.

4c. Growth Strategy

OFSS's growth strategy rests on three pillars: (1) **cloud migration**—transitioning on-premise banking clients to OCI-based SaaS models, driving higher recurring revenue; (2) **digital banking expansion**—capitalising on the global neo-banking and embedded finance wave with modern API-first platforms; and (3) **geographic diversification**—deepening presence in high-growth markets across APAC, Africa, and the Middle East. While the 5-year revenue CAGR of ~9% appears modest, the FY26 acceleration to 12% suggests that these initiatives are beginning to gain traction. The near-debt-free balance sheet provides ample capacity for bolt-on acquisitions to augment product capabilities.

Shareholding Pattern Analysis

Category (%)	Dec 2024	Mar 2025	Jun 2025	Sep 2025	Dec 2025	Mar 2026	QoQ Change
Promoters	72.53%	72.50%	72.48%	72.47%	72.46%	72.44%	-0.02pp
FII / FPI	8.50%	8.42%	8.38%	8.40%	8.36%	8.04%	-0.32pp
DII (incl. MF)	8.90%	9.12%	8.82%	8.45%	8.50%	8.69%	+0.19pp
Mutual Funds	5.60%	5.75%	5.70%	5.65%	5.81%	5.53%	-0.28pp
Insurance	0.69%	0.43%	0.40%	0.45%	0.45%	0.46%	+0.01pp
Public & Others	9.38%	9.53%	9.92%	10.23%	10.23%	10.37%	+0.14pp

Key observations: Promoter holding has remained exceptionally stable at ~72.4%, with zero pledged shares—a strong signal of promoter commitment. FII holdings declined marginally from 8.36% to 8.04% in the Mar 2026 quarter, while DII holdings recovered slightly to 8.69%. Mutual fund holdings eased to 5.53%. Public shareholding has gradually increased, reflecting wider retail participation. Overall, the shareholding structure remains dominated by the promoter with a healthy institutional presence.

Investment Thesis

6a. Key Drivers

- ▶ **Sticky, Recurring Revenue Base:** Deeply embedded banking software with multi-year maintenance contracts ensures high revenue visibility and predictable cash flows.
- ▶ **Best-in-Class Profitability:** ROCE of 45.3% and ROE of 32.6% are among the highest in the Indian IT sector, reflecting the asset-light, IP-driven business model.
- ▶ **Pristine Balance Sheet:** Near-zero debt (D/E ~0.004) and strong FCF generation provide financial resilience and capacity for shareholder returns.
- ▶ **Attractive Dividend Yield:** At 4.20%, OFSS offers one of the highest dividend yields in the technology space, supported by a 93% payout ratio.

6b. Catalysts

- ▶ **Cloud Migration Acceleration:** Global banks increasingly moving core systems to the cloud; OFSS is well-positioned with OCI-based SaaS offerings.
- ▶ **Regulatory Tailwinds:** Evolving Basel IV, IFRS 9/17, and ESG compliance requirements drive sustained demand for OFSAA and risk solutions.
- ▶ **Digital Banking Wave:** Growing adoption of digital-only banks and embedded finance solutions creates new addressable markets.
- ▶ **FY26 Revenue Acceleration:** Revenue growth of 12% in FY26 marks a potential inflection point after years of single-digit growth.

6c. Industry Positioning

OFSS occupies a unique niche within the Indian IT landscape—a pure-play financial services software provider with global scale, backed by Oracle's formidable ecosystem. Unlike broad-based IT services peers, OFSS competes in the higher-margin product software segment. While revenue growth has lagged some peers, the company's profitability and capital efficiency metrics are in a league of their own. The stock's valuation at 31.4x P/E partly reflects this quality premium. In the broader market context, as reflected by BSE500 data showing 97 stocks at 52-week lows, quality compounders like OFSS tend to outperform during periods of market uncertainty.

Valuation & Recommendation

7a. Valuation Methodology

We derive the target price using a **P/E Mean Reversion** approach, which is most appropriate for a mature, high-ROE software company with stable earnings.

Valuation Parameter	Value	Remarks
FY26 Reported EPS	₹303.25	Strong 10.7% YoY growth
Current P/E (CMP ₹9,525)	31.4x	In-line with historical range
Target P/E Multiple	34.6x	Modest re-rating for quality & growth
Derived Target Price	₹10,500	~10% premium to CMP
Upside from CMP	+10.2%	Moderate upside
Investment Horizon	12–18 Months	Medium-term view

Rationale for 34.6x target P/E: Given OFSS's 3-year average ROE of 30.3%, near-zero debt, best-in-class ROCE of 45.3%, and robust FCF generation, a moderate P/E re-rating from 31.4x to ~35x is justified. This multiple remains well within the company's historical trading range and reflects the premium warranted by its quality metrics. At 34.6x FY26 EPS, the target price works out to approximately ₹10,500. The upside of 10.2% falls within the **HOLD** band (-10% to +15%).



Recommendation: HOLD

Target Price: ₹10,500 | **Upside:** +10.2% | **Horizon:** 12–18 Months

- ▶ Exceptional profitability (ROCE 45.3%, ROE 32.6%) and pristine balance sheet support premium valuations.
- ▶ Attractive 4.20% dividend yield provides downside cushion in volatile markets.
- ▶ Moderate revenue growth (~9% 5-year CAGR) limits near-term re-rating potential.
- ▶ At 31.4x P/E, the stock is fairly valued relative to its growth profile; upside from current levels is modest.
- ▶ **Accumulate on dips** below ₹8,800 for a more attractive risk-reward entry point.

Conclusion

Oracle Financial Services Software represents a rare combination of **world-class profitability, a fortress balance sheet, and a generous dividend policy** within the Indian technology sector. The company's deeply entrenched position in the global banking software ecosystem—underpinned by Oracle's brand, R&D, and cloud infrastructure—provides a durable competitive advantage that few peers can match. The FY26 results, with revenue growth accelerating to 12% and EPS crossing the ₹300 mark, signal that the company's cloud and digital banking initiatives are beginning to bear fruit after years of modest top-line expansion.

That said, the 5-year revenue CAGR of ~9% remains a constraint on the stock's re-rating potential, and at 31.4x trailing earnings, much of the quality premium is already priced in. The target price of ₹10,500 offers a **+10.2% upside**, which, while positive, does not meet the threshold for a BUY recommendation. We therefore rate OFSS as a **HOLD**. Investors should view the 4.20% dividend yield as an attractive source of total return while awaiting clearer signs of revenue acceleration or valuation correction for a more compelling entry opportunity. In the current market environment—where the BSE500 shows broad-based weakness with 97 stocks at 52-week lows—OFSS's defensive quality characteristics make it a valuable portfolio stabiliser.

Market Context & Index Performance

Index	Current Level	Key Observations
BSE100	—	Mixed sentiment; IT and pharma stocks showing positive momentum. Selective stock-level gains in Adani Energy, Wipro, Indus Towers. Broader Sensex volatile amid rupee fluctuations and foreign bond tax-cut reports.
BSE200	₹11,047	Modest gain of +0.30%. Intraday high of ₹11,086.49 indicates positive bias. Adani Energy Solutions (+2.14%) led; Samvardhana Motherson (-0.91%) lagged.
BSE500	35,413.94	Trading within 52-week range of 31,965–37,874. 97 stocks at 52-week lows —indicating broad-based market weakness. Sector-specific resilience in IT and pharma noted in related Sensex data.

Market Implications for OFSS: The broad market weakness reflected in the BSE500 (97 stocks at 52-week lows) favours defensive, high-quality names like OFSS. The company's strong dividend yield (4.20%), low beta characteristics, and consistent earnings profile make it a relative safe haven during market turbulence. The positive momentum observed in IT stocks within the BSE100 and Sensex provides a supportive sectoral backdrop. However, elevated index-level volatility and FII selling pressure (as seen in OFSS's own FII holding declining to 8.04%) warrant monitoring.

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